Cyient DLM Ltd

Concall-Tracker report | ticker CYIENTDLM | Q2-2027 update (continues the Q1-2027 report) | prepared 06 Nov 2026 | based on earnings-call transcripts (Screener.in)

1. Snapshot

What the business does: Cyient DLM is an electronics manufacturing services (EMS) company. It builds circuit boards, cable harnesses and complete electronic boxes for other companies' high-reliability products, mainly in aerospace, defence, industrial and medical equipment. Most work is "build-to-print" (making exactly to the client's design). A smaller, higher-margin part is "build-to-spec", now renamed "electronic products", where Cyient DLM designs the product too. It owns a small US plant (Altek, now renamed Cyient DLM Electronics Inc.). About 93% of revenue comes from overseas customers.

Number	Value	Plain-English read
Market value (Screener, Nov 2026)	₹6,143 cr	What the whole company is worth on the market (~₹772 a share), up from ~₹5,300 cr in July.
Stock P/E	~91	Buyers pay about ₹91 for each ₹1 of yearly profit. Very expensive; a long, clean recovery is already priced in.
Q2 FY27 revenue (consolidated)	₹393 cr, up 26.5%	Second straight quarter of strong growth after a year of falling sales.
Q2 FY27 EBITDA (operating profit)	₹34 cr, up 9.5%; margin 8.7%	Profit grew far slower than sales. Margin fell from 10.0% a year ago as the company spent on salespeople and product design.
Q2 FY27 net profit	₹34 cr reported / ₹16 cr normalised (+25.8%)	Reported profit is inflated by an ₹18 cr one-off: money set aside to pay Altek's sellers was written back because Altek missed its targets. The real profit is ₹16 cr.
Order book (Sep 2026)	₹2,813 cr, record	Orders in hand worth roughly two years of sales. Usually delivered over 18-24 months.

2. Concall coverage

Period	Call date	How it was used
Q1 FY24 → Q4 FY26 (12 calls)	Jul 2023 – Apr 2026	Carried forward from the Q1-2027 report
Q1 FY27 (prior report's boundary)	21 Jul 2026	Carried forward from the Q1-2027 report
Q2 FY27	15 Oct 2026	Newly deep-read in full ★

Only the new Q2 FY27 call was read in full this quarter. The backstory comes from the Q1-2027 report. In total, 14 calls over three-plus years.

★ Latest concall highlights: Q2 FY27 (call held 15 Oct 2026)

- **Growth held up, margin didn't.** Revenue up 26.5% (H1 up 30.2%), but EBITDA margin dropped to 8.7%, ending a run of four double-digit quarters. Management blames sales and marketing hires, product-design costs that are expensed rather than capitalised, and a one-quarter mix shift.
- **Margin guidance reset lower.** FY27 EBITDA margin now guided at "around 9%" (9-10%), with double digits only from FY28. Last year's group margin was above 10%, so this is a step back for the year.
- **Order book at a new record.** ₹2,813 cr, up ₹210 cr in the quarter; orders won were about 1.6 times sales billed. Management expects ₹600 cr+ of new orders a quarter for the next two quarters and over 30% revenue growth in H2.
- **The design business got pushed out.** Four "electronic products" programmes worth about $1 bn over 7-9 years are signed or close, but sit outside the order book. Production now starts around FY29 and ramps from FY30. The prior call pointed to FY28.
- **Tone:** upbeat. The chairman says "we're over all the challenges that we had last year" and that sales hiring is complete, so margins should recover as revenue grows.

Business mix & capacity (quick facts)

Domestic vs export (Q2 FY27): rest of world ~93% / India ~7% of revenue. Still almost entirely an export business. Management sees a little more India business from design programmes but says exports stay dominant.

Segments: aerospace 47% (+62%), industrial 31% (+29%), medtech 14% (+14%), defence 7% (+13%). Box-build (complete assembled units) is 27% of revenue and grew 85%. Growth is concentrated in aerospace and in higher-value assembly.

Capacity utilisation: not restated on this call. It was last given at ~55-60%, so there is room to grow output without big new plants. Working capital improved slightly (153 days from 161), but inventory stays high at 162 days.

★ Since our last report

Builds on the Q1-2027 report (boundary call 21 Jul 2026). Prior verdicts: **Trigger MAYBE · Consistency MAYBE**.

Prior read	What we said then	What the new call shows	Movement
Trigger: record order book converting	One good quarter (+34%) after a year of declines	Second good quarter (+26.5%); order book higher again; FY27 growth guided at 30-35%	Improving
Consistency	Broken "growth by Q4 FY26" promise; story kept shifting	Revenue promise kept so far, but margin guidance cut and design-business timing pushed out	Mixed
Double-digit margins	"Sustainable"; four straight double-digit quarters	Q2 at 8.7%; FY27 guided ~9%; double digit only from FY28	Slipping
Honeywell aerospace ramp (~18 months)	Programmes won, ramp ahead	Prototypes still in testing with engineering changes; serial production took longer	Slipping
Build-to-spec own-IP products	Mass production from FY28	Production from ~FY29, full ramp FY30+	Slipping
New lanes (AI data centres, robotics, chip equipment)	"Update in 2-3 quarters"	Chip-equipment revenue started over the last two quarters; AI and robotics "just started exploring", update by year end	On-track (early)
Cash / working capital	Inventory 162 days, a watch item	Working capital 153 days; ₹17 cr operating free cash flow	Improving slightly

Verdict change this quarter: both verdicts unchanged. The revenue recovery firmed up, but the margin guidance cut and the later design-business timeline offset it.

★ 3. Earning-trigger thesis

The near-term driver is simple: a record order book turning into sales. After FY26's slump (a big Indian defence order ended and the West Asia war disrupted supplies), the backlog has grown for six straight quarters and revenue is now up about 30% for the half year, led by aerospace. The longer story is the "strengthen, expand, transform" plan: add new industries (chip-making equipment, AI data centres, robotics) by FY29 and then lift margins to 13-18% with own-design products from FY30. The near-term part is now visible in two quarters of numbers. The margin part has gone backwards this year and the high-margin products are further away than they looked in July.

Trigger	What management said	Evidence so far	Horizon	Strength	Change since last report
Order book converting to revenue	₹2,813 cr backlog over 18-24 months; FY27 growth 30-35%	H1 revenue +30%; backlog up ₹520 cr in a year	Now–FY28	Strong	↑ second quarter confirms
Aerospace + box-build ramp	Honeywell and other programmes scaling	Aerospace +62%; box-build +85%	12-24 months	Moderate-Strong	↑ growth, but Honeywell serial production slow
Margin recovery as costs absorb	No more sales hiring until quarterly revenue doubles; double digit from FY28	Q2 margin 8.7%; FY27 guided ~9%	FY28	Unproven	↓ guidance cut
Own-design "electronic products"	4 programmes, ~$1 bn over 7-9 years	Designs in testing; not in order book	FY29-30+	Unproven	↓ pushed out a year
Chip equipment / AI data centre / robotics	New industries by FY29; margin 11-13%	Some chip-equipment revenue; others exploratory	FY28-29	Unproven	Unchanged

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
FY24-25	~30% revenue growth a year; order book "will improve in H2"	FY26 revenue fell; order book drifted down for ~7 quarters before rebuilding	Missed
Q1-Q3 FY26	Growth returns by Q4 FY26 (said three times)	Q4 FY26 still down 13.8%	Missed
Q3-Q4 FY26	FY27 "far, far better", 20-25% growth	H1 FY27 +30%; FY27 now guided 30-35%	Delivered so far
FY25-Q1 FY27	Double-digit EBITDA margin, sustainable	FY26 10%+, but Q2 FY27 8.7% and FY27 guided ~9%	Partly / slipping
Oct 2024	Altek acquisition to hit its earnout	Targets missed; ₹18 cr provision reversed this quarter	Missed
Q4 FY26-Q1 FY27	Build-to-spec mass production from FY28	Now FY29 start, FY30 ramp	Delayed
Jul 2026	Update on AI data centre / robotics in 2-3 quarters	"Just started exploring"; update by FY27 end	Too early

Narrative drift: the revenue story has finally stopped moving. The order book is the headline every call, and the numbers now back it up. The drift has moved to margins and timing. In July the line was double-digit margins and design products from FY28. Now it's ~9% this year and design products from FY29-30. The explanations are reasonable (expensing development costs is the conservative choice), but this is the same habit as before: the good

part arrives a year later than first said. The pipeline figure also wobbled on the call (from $1.4 bn earlier to "just over $1 bn", then called ~$1.5 bn unweighted by the chairman).

5. Bottom line: two verdicts

Durable earning trigger? → MAYBE

vs last quarter: unchanged

The revenue half of the case got stronger: a second quarter of 25%+ growth, a bigger record order book and aerospace growing fast. That's a real, live driver. But earnings are what count. With FY27 margins now guided below last year's, profit will grow slower than sales this year, and the higher-margin design business has moved out to FY29-30. Close to a YES on revenue, still a MAYBE on earnings. At a P/E near 91 the stock needs both.

Management consistent? → MAYBE

vs last quarter: unchanged

A mixed quarter for credibility. They kept the revenue promise and raised the growth outlook, and they were upfront about expensing costs and the one-off earnout gain. But the margin guidance fell within a quarter of calling double digits sustainable, and the design-product timeline slipped a year. That fits the old pattern of over-early timelines. The next test is whether H2 growth stays above 30% and whether margins actually turn up in FY28 as promised.

Prepared from Cyient DLM's Q2 FY27 earnings-call transcript (15 Oct 2026, Screener.in), the Q1-2027 Concall Tracker report for backstory, and Screener financial snapshot files. Management speaks to consolidated (group) figures; Screener's quarterly table is standalone (India entity). Not investment advice.